iv. Employment is heavily concentrated in small firms. The degree of concentration is much higher than in other Asian countries. For example, the share of micro and small enterprises in manufacturing employment is 84 per cent for India versus 27.5 per cent for Malaysia and 24.8 per cent for China.

These characteristics of Indian manufacturing are quite puzzling in that product market reforms since the early 1990s, including dramatic trade liberalisation and virtual abolishment of the industrial licensing regime, have been primarily focused on removing various constraints on the manufacturing sector. How then does one explain the peculiarities of the Indian manufacturing sector? Several theories have been put forward to explain this puzzle, ranging from strict labour laws that have hindered growth, especially of labour-intensive industries, infrastructure bottlenecks that have prevented industries from taking advantage of reforms, and credit constraints due to weaknesses in the financial sector which may be holding back small and medium sized firms from expanding. India's labour regulations have been criticised on many grounds including sheer size and scope , their complexity, and inconsistencies across regulations:

i. There are 45 different national and state level labour legislations in India.[38] The labour laws apply only to the organised sector.

ii. As the size of a factory grows, it increasingly becomes subject to more legislation. A few specific pieces of the legislation are particularly constraining.

iii. According to Chapter VB of the **IDA** (Industrial Disputes Act), it is necessary for firms employing more than 100 workers to obtain the permission of state governments in order to retrench or lay off workers.

iv. While the IDA does not prohibit retrenchment, states have often been unwilling to grant permission. Section 9A of the IDA lays out the procedures that must be followed by employers before changing the terms and conditions of work, which introduces additional rigidities for firms in using their existing workers effectively.[39] In particular, worker consent is required in order to modify job